LEGISLATION - Dodd introduces restaurant fees bill

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State Sen. Bill Dodd introduced legislation Thursday to enhance consumer protection for California restaurant patrons by clarifying state law on the disclosure of hidden fees and other service charges.

“Restaurant customers shouldn’t be surprised when they get their checks by a slew of extra charges they were not expecting,” said Dodd (D-Napa) in a news release. “Many restaurants are up front with their business practices but too many aren’t, necessitating action. This proposal will level the playing field for all restaurants and address confusion and disagreement about what is permissible under state law.”

Last year, Gov. Gavin Newsom signed Dodd’s Senate Bill 478, which bars businesses of all types from adding undisclosed fees at the end of transactions.

SB 478 applied to the proliferation of the hidden charges on purchases such as online event tickets, lodging and other transactions that add billions of dollars in costs for California consumers. The law takes effect July 1.

In response to questions about how the new law applies to restaurant charges, Dodd is introducing an urgency measure, Senate Bill 1524, which could be adopted within the next month. The new proposal makes clear that any mandatory gratuity, service charge or other fee charged by restaurants must be displayed conspicuously on restaurant menus.

The bill SB 1524 is co-authored by State Senator Scott Wiener, D-San Francisco, and State assemblymember Jesse Gabriel, D-Encino. It is supported by the California Restaurant Association and the Unite Here labor union.

“Restaurants are vital to the fabric of life in California, and they should be able to cover costs as long as they do so transparently,” said Wiener. “SB 1524 clarifies portions of the law that pose a serious threat to restaurants. The bill strikes the right balance between supporting restaurants and delivering transparency for consumers, and I’m proud to support it.”

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